

October 17, 2025 11:34 PM GMT

Global Macro Commentary | Global

October 17: Trade & Credit Concerns Ease

Risk sentiment rebounds on constructive signals for US-China trade, regional banks, and credit market health; US bank stocks recover; S&P downgrades France; China announces RMB500bn fiscal stimulus; ARS weakens despite continued US purchases; DXY at 98.433 (+0.1%); US 10y at 4.010 (+3.4bp).

US equities rebound (S&P 500: +0.5%) and Treasuries bear-flatten (2y: +3bp; 30y: +2bp) in a reversal of yesterday's flight to safety as risk sentiment recovers.

Developed Markets

- **Constructive signals from regional bank earnings ease some investor concerns about the US credit market, though yesterday's risk-off move is only partially retraced.** Loan loss provisions across several banks come in [below](#) Bloomberg consensus estimates. Accordingly, the KBW Bank Index rebounds 0.6% after selling off 3.6% on Thursday, though our banks equity analysts [note](#) that the market could remain focused on the topic of credit quality in the near term. In US corporate credit, 5y HY and IG CDX spreads tighten after widening yesterday. As subprime auto lending also [remains in focus](#), our consumer finance equity analysts currently [see](#) no emerging issues in auto, credit card, or other consumer portfolios.
- **The US continues to signal openness to trade negotiations with China, supporting a recovery in risk sentiment.** In the New York morning, US equities rebound after President Trump acknowledges that the proposed 100% tariffs on Chinese goods is "not sustainable" and suggests he will likely meet with Chinese President Xi at the APEC Summit as planned. Treasury Secretary Bessent confirms he will meet with Chinese officials next week in Malaysia.
- **After another week of limited progress on the government shutdown, the US administration [moves](#) to proceed with over 2,000 federal layoffs in spite of the court order temporarily blocking the action.** Despite the lack of data, our economists [note](#) that recent communications from the Fed still support our expectation for a 25bp rate cut this month. The Fed [schedules](#) an open meeting on potential bank stress test changes for October 24, in line with Vice Chair for Supervision Bowman's [guidance](#) that additional changes could be unveiled in the next week.
- **Euro area rates reverse an initial rally to sell off in sympathy with US rates, with France underperforming ahead of a surprise [downgrade](#) of its sovereign credit to A+.** S&P issues an unscheduled downgrade following

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French Prime Minister Lecornu's recent suspension of the proposed pension reforms. In response, Finance Minister Lescure sets the goal of reaching a 3% deficit-to-GDP ratio by 2029. The sell-off in the broader euro area shows a steepening bias (2y Bund: 0bp; 30y: +2bp) which is also reflected in EUR swaps, where the 2s10s segment widens 2bp.

- **The dollar strengthens in line with higher US yields while risk-sensitive currencies see a reprieve from yesterday's sell-off (AUD/USD: +0.2%).** Among European currencies, CHF outperforms on the crosses as investors remain interested in expressing safe-haven bids, with EUR/CHF and SEK/CHF both weakening 0.2%. The oil-sensitive NOK holds steady amid the dollar strength as Brent prices trend higher through the afternoon as President Trump [comments](#) on military activity pertaining to Venezuela, Russia, and Ukraine. Gold (-1.7%) and silver (-4.3%) give back recent gains as safe-haven demand slows.
- **In a quiet Tokyo session, front-end Japanese rates rally alongside the overnight move in US rates while the long end sees some selling pressure from unwinding flattener trades.** Japanese rates ultimately twist-steepen (5y: -1.5bp; 40y: +2bp). USD/JPY falls in the Tokyo session in line with rate differentials, but ends the New York session largely unchanged at 150.6 (+0.1%).

Emerging Markets

- **In the Asia session, AxJ currencies weaken broadly while rates mostly rally amid risk-off sentiment.** In China, USD/CNH remains broadly unchanged despite President Trump's statements, a continued move lower in the USD/CNY fixing (7.0949; P: 7.0968), and the Ministry of Finance [announcing](#) a RMB500bn fiscal stimulus, in line with our expectations for fiscal expansion in 4Q. Chinese rates rally (30y CGB: -4bp) in a bull-flattening as onshore equities sell off (CSI 300: -2.3%). However, in Indonesia, fiscal stimulus drives underperformance in local rates, with IndoGBs selling off slightly after the government [unveils](#) \$1.7bn in cash handouts to be distributed from October to December.
- **Malaysia is a regional FX outperformer, with MYR strengthening 0.1% against USD as local rates sell off on stronger-than-expected 3Q25 GDP (5.2% y/y; C: 4.2%; P: 4.4%).** In Korea, KRW weakens 0.4% against USD amid continued [uncertainty](#) around the FX implications of the \$350bn US investment deal. Korean rates retrace their weakness from Thursday's session, with the curve bull-flattening (10y KTB: -5bp).
- **In Argentina, ARS weakens another 4% against USD, even as Treasury Secretary Bessent [confirms](#) that the US once again purchased ARS in both the spot and blue-chip markets.** In Colombia, COP initially surges nearly 2% after BanRep co-director Mauricio Villamizar states that "hiking rates is on the table" in light of inflation risks. The move fades, however, and COP

closes only 0.4% higher against USD as market participants seemingly question the statement's follow-through. The Brazilian DI curve was relatively flat, while the COP IBR steepened in the belly, with the 5y tenor up about 9bps.

Central Bank Monitor

Developed Markets

- **St. Louis Fed President Musalem** [said](#) he could support another rate cut, but emphasized a data-dependent approach. Musalem noted that equity prices are not central to economic assessments, and the labor market is near full employment given immigration policy impacts on job gains. He also highlighted that lower-income households are relying on credit for spending and that inflation remains a major concern for consumers.
- **BoE Chief Economist Pill** [reiterated](#) calls for a cautious pace of rate cuts.
- **BoE External Member Greene** [expressed](#) caution on cutting rates, suggesting the BoE should slow the pace of cuts to guard against inflation risks.
- **ECB President Lagarde** [said](#) risks to both inflation and unemployment have narrowed. She reiterated a "data-dependent and meeting-by-meeting approach."
- **ECB Governing Council Member Simkus** [said](#) he likes "the idea of a risk-management cut," as the recent weak German industrial production and political uncertainty in France present downside risks to growth.
- **ECB Governing Council Member Rehn** [called](#) for more joint debt to finance common European military spending.
- **ECB Governing Council Member Kocher** [sees](#) an equal of the ECB pursuing a rate cut or hike next, reiterating that current policy is "appropriate."

Emerging Markets

- **PBoC Governor Pan** [said](#) unilateralism and protectionism undermine the international trade order and disrupt supply chains. He [added](#) that fiscal fragility combined with financial fragility could trigger market volatility.

Exhibit 1: G4 Rates Closes (5pm NY)

Tenor	US			Germany			UK			Japan		
	17-Oct	1d Δ (bp)	2wk	17-Oct	1d Δ (bp)	2wk	17-Oct	1d Δ (bp)	2wk	17-Oct	1d Δ (bp)	2wk
2y	3.457	3.3		1.906	0.0		3.875	2.8		0.905	(0.9)	
3y	3.467	3.9		1.966	(0.1)		3.852	1.8		0.990	(0.5)	
5y	3.592	4.5		2.166	0.9		3.972	2.1		1.189	(1.9)	
7y	3.782	4.3		2.311	1.0		4.124	2.9		1.406	(1.8)	
10y	4.009	3.4		2.580	1.0		4.530	3.0		1.624	(3.0)	
20y	4.576	2.4		3.071	1.5		5.215	2.6		2.629	(2.0)	
30y	4.605	2.1		3.174	1.6		5.335	3.6		3.118	(0.4)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Inflation Closes (5pm NY)

US TIPS				10y Real Yields, BEI							
Tenor	17-Oct	1d Δ (bp)	2wk	10y	17-Oct	1d Δ (bp)	2wk	10y	17-Oct	1d Δ (bp)	2wk
5y	1.234	4.2		DBRi	0.643	2.0		BTPi	1.711	3.4	
BEI	2.329	0.4		BEI	1.722	(1.1)		BEI	1.693	(1.3)	
10y	1.732	3.7		UKTi	1.570	4.3					
BEI	2.274	(0.3)		BEI	3.029	(1.3)					
30y	2.402	2.7		JGBi	0.037	1.4					
BEI	2.205	(0.4)		BEI	1.559	(4.7)					

Source: Morgan Stanley Research, Bloomberg

Exhibit 3: Macro Closes (5pm NY)

Majors				EM				Equities / Commodities			
Spot	17-Oct	1d Δ (%)	2wk	Spot	17-Oct	1d Δ (%)	2wk	Index	17-Oct	1d Δ (%)	2wk
DX	98.43	0.1		CNH	7.13	0.0		S&P	6664.01	0.5	
EUR	1.166	(0.3)		INR	87.97	0.2		Stoxx	5607.39	(0.8)	
GBP	1.343	(0.1)		THB	32.66	0.3		FTSE	9354.57	(0.9)	
JPY	150.61	0.1		KRW	1422.15	0.4		Nikkei	47582.15	(1.4)	
CHF	0.793	0.0		ZAR	17.37	0.2		VIX	20.78	(17.9)	
AUD	0.650	0.2		MXN	18.37	(0.4)		Gold (S)	4251.82	(1.7)	
CAD	1.402	(0.2)		BRL	5.41	(0.6)		WTI (Fut)	57.54	0.1	

Source: Morgan Stanley Research, Bloomberg

Exhibit 4: G4 Central Bank Implied Pricing

Central Bank OIS											
Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ	BOE	Implied	1d Δ (bp)	Total Δ
EFFR (10/16)	4.110	0.0	—	EDONIA (10/16)	1.928	0.0	—	SONIA (10/16)	3.968	0.0	—
10/29/25	3.852	0.5	(25.8)	10/30/25	1.920	(0.3)	(0.8)	11/06/25	3.937	0.7	(3.0)
12/10/25	3.594	2.3	(51.6)	12/18/25	1.889	0.4	(3.9)	12/18/25	3.865	0.9	(10.2)
01/28/26	3.457	4.0	(65.3)	02/05/26	1.867	0.8	(6.1)	02/05/26	3.729	2.2	(23.9)
03/18/26	3.323	4.0	(78.7)	03/19/26	1.804	(2.6)	(12.4)	03/19/26	3.676	2.7	(29.1)
04/29/26	3.245	4.0	(86.5)	04/30/26	1.790	4.6	(13.8)	04/30/26	3.575	2.8	(39.3)
06/17/26	3.099	4.3	(101.1)	06/11/26	1.752	1.4	(17.6)	06/18/26	3.556	3.4	(41.2)

Source: Morgan Stanley Research, Bloomberg

The Day Ahead*Developed Markets*

- Sun 5:45pm ET - **New Zealand 3Q Non-Tradeable CPI** (C: 1.1% q/q; P: 0.7%)
- Mon 8:00am BST - **Germany September Producer Prices** (MSe: -1.8% y/y; C: -1.5%; -2/2%)
- 9:00am BST - **ECB Executive Board member Schnabel** will speak in Frankfurt
- 8:00pm BST - **ECB Governing Council members Nagel and Vujcic** will speak in New York
- 10:30am ET - **Canada 3Q Business Outlook Survey**

Emerging Markets

- Mon 9:00am HKT - **China 1-year Loan Prime Rate** (C: 3.00%; P: 3.00%); **5-year Loan Prime Rate** (C: 3.50%; P: 3.50%)
- 10:00am HKT - **China 3Q25 GDP** (MSe: 4.6% y/y; C: 4.7%; P: 5.2%); **September Retail Sales** (MSe: 2.5% y/y; C: 3.0%; P: 3.4%); **September Industrial Production** (MSe: 5.2% y/y; C: 5.0%; P: 5.2%); **September Fixed Assets Investment YTD** (MSe: -0.4% y/y; C: 0.1%; P: 0.5%)
- 4:30pm HKT - **Hong Kong September Unemployment Rate** (C: 3.7%; P: 3.7%)
- **Philippines September Balance of Payments** (P: \$359mn)

Economic Releases

Developed Markets

- **Sweden September Unemployment Rate SA:** 8.7% (MSe: 8.7% C: 8.7% P: 8.8%)

Emerging Markets

- **Korea September Unemployment Rate:** 2.5% (MSe: 2.5%; C: 2.6%; P: 2.6%)
- **Singapore September Non-Oil Domestic Exports:** 6.9% y/y (C: -2.1%; P: -11.5%)
- **Malaysia 3Q25 Preliminary GDP:** 5.2% y/y (MSe: 3.8%; C: 4.2%; P: 4.4%);
September Trade Balance: MYR19.9bn (C: MYR16.8bn; P: MYR15.9bn);
Exports: 12.2% y/y (C: 3.1%; P: 1.7%) and **Imports:** 7.3% y/y (C: 1.4%; P: -5.9%)
- **Thailand October 10 FX Reserves:** \$272.7bn (P: \$273.8bn)
- **India October 10 FX Reserves:** \$697.8bn (P: \$700.0bn)

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G4 Smarter (Beta) Trading Partners

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Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See [A "Smarter" \(Beta\) Way to Trade G4 10y Futures Duration?](#) for more information on these strategies.

Exhibit 5: Trading Signals for G4 Smarter (beta) Trading Strategy

Current Risk, G4 10y Futures	G4 Strategy Weight	Trade Longs Portfolio	Fade Shorts Portfolio	Total Risk Trade Longs Only	Total Risk Trade Longs/Fade Shorts (max 200%)	Trade Longs Portfolio Entry Date	Trade Longs Portfolio Exit Date	Fade Shorts Portfolio Entry Date	Fade Shorts Portfolio Exit Date
J8 10y Future	32.50%	100%	100%	100%	200%	10/15/2025	11/20/2025	9/19/2025	10/28/2025
GE 10y Future	29.25%	100%	100%	100%	200%	10/7/2025	11/11/2025	9/15/2025	10/20/2025
US 10y Future	30.50%	100%	100%	100%	200%	10/14/2025	11/19/2025	9/24/2025	10/30/2025
UK 10y Future	7.75%	100%	100%	100%	200%	10/15/2025	11/19/2025	9/25/2025	10/30/2025

Source: Morgan Stanley Research

Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

US Holiday Trading Strategy

Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See [Trading 10y Treasury Futures Around US Holidays](#) for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. [Exhibit 6](#) displays the trading rules:

Exhibit 6: Trading rules for US holiday trading model using US 10y futures contracts (TY)

Holiday	Day of Week	Direction	Before/After Holiday	Trading Rule (business days, 3pm NY unless specified)	Trade Entry (business days)	Trade Exit (business days)
New Year's Day	Rotates	Long TY	After	Buy TY New Years +1, Sell TY New Years +4	New Year + 1	New Year + 4
Martin Luther King Day 1	Monday	Long TY	Before	Buy TY Tuesday before MLK, Sell Friday before MLK	MLK - 4	MLK - 1
Martin Luther King Day 2	Monday	Short TY	After	Sell TY Tuesday after MLK, Buy Friday after MLK	MLK + 1	MLK + 4
President's Day	Monday	Long TY	After	Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day	Pres. Day + 1	Pres. Day + 4
Good Friday	Friday	Long TY	After	Buy TY Monday after Good Friday, Sell TY Friday after Good Friday	Good Friday + 1	Good Friday + 5
Memorial Day	Monday	Long TY	After	Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day	Mem. Day + 1	Mem. Day + 4
Independence Day (July 4th)	Rotates	Long TY	After	Buy TY Independence Day + 2, Sell TY Independence Day + 4	Ind. Day + 2	Ind. Day + 4
Labor Day	Monday	Long TY	Before	Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day	Labor Day - 4	Labor Day - 2
Columbus Day	Monday	Short TY	Before	Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day	Colum. Day - 5	Colum. Day - 2
Thanksgiving	Thursday	Long TY	Before	Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving	Thanksgiving - 4	Thanksgiving - 2
Christmas	Rotates	Short TY	Before	Sell TY Christmas Day - 4, Buy TY Christmas Day - 1	Christmas - 4	Christmas - 1

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

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Global Stock Ratings Distribution

(as of September 30, 2025)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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